

BUDGET COMMITTEE MEETING – Tuesday May 19, 2026

9:00 a.m. – Anne Basker Auditorium

600 N.W. Sixth Street, Grants Pass, OR 97526

Budget Committee: Ron Smith, Colene Martin, and Gary Richardson, Marc Kirby, Chris Collins (Absent) and Dorothy Yetter; Kassie Austin, Recorder

Budget Officer: Arthur O'Hare

1) Open Meeting – Gary Richardson, Budget Committee Chair

Commissioner Martin opened the meeting at 9:00 a.m. The budget committee reviewed the agenda and determined that there are no potential conflicts of interest on today's agenda.

2) Budget Officer presents Budget Message and Proposed Budget for FY 26-27

Arthur O'Hare, Budget Officer, presented the Fiscal Year 2026–2027 Proposed Budget and delivered the annual Budget Message required under Oregon Budget Law. O'Hare thanked the citizen Budget Committee members for their participation and emphasized the importance of public representation within the County budget process. O'Hare explained that the Board of County Commissioners establishes budget goals and directives while the Budget Officer prepares the proposed budget under the Board's direction. He further explained that the Budget Committee is responsible for reviewing the proposed budget, receiving public testimony, and making recommendations prior to formal budget adoption.

O'Hare advised that the proposed Fiscal Year 2026–2027 budget complied with Oregon Budget Law requirements and that all County funds remained balanced. Discussion occurred regarding budget resources, expenditures, contingencies, beginning fund balances, ending fund balances, and reserve requirements established by the Board of Commissioners during prior budget workshops. O'Hare explained that the County maintains contingency and reserve requirements to address emergency expenditures, maintain adequate cash flow prior to receipt of property tax revenues, and stabilize future law enforcement funding needs.

O'Hare reviewed overall budget figures and explained that the total proposed budget for Fiscal Year 2026–2027 was approximately \$188.9 million, representing an approximate three percent increase over the prior fiscal year adopted budget. He stated that operating expenditures for payroll, supplies, services, and capital had decreased overall by approximately \$2.4 million, while County staffing levels reflected a net reduction of approximately 20.79 full-time equivalent positions compared to the prior fiscal year adopted budget.

Discussion occurred regarding the structure of the General Fund and the County's reliance on restricted and unrestricted revenues. O'Hare explained that approximately eighty-seven percent of County revenues are restricted funding sources and unavailable for discretionary County operations, while approximately thirteen percent of County revenues remain unrestricted within the General Fund. O'Hare additionally reviewed General Fund reserves, contingency levels, and the County's reliance upon property tax collections and Secure Rural Schools funding assumptions.

O'Hare also reviewed several significant departmental budget changes included within the proposed budget, including adjustments to staffing levels within Emergency Management, Planning, Finance, Information Technology, Legal Counsel, Public Health, Juvenile programs, and Internal Services. Discussion occurred regarding reductions in Forestry Reserve expenditures, Public Health restructuring efforts, Fairgrounds funding reserves, and capital project adjustments within the Property Reserve Fund. O'Hare stated that more detailed information regarding individual departmental budgets would be presented throughout the upcoming Budget Committee meetings.

The Budget Committee thanked O'Hare and the Finance Department staff for their work preparing the proposed budget documents. Exhibit 1 – Fiscal Year 2026–2027 Budget Message.

3) Budget Committee establishes meeting calendar

a. Proposed date: May 21st, 2026, 9:00 a.m. – 12:00 p.m.

b. Proposed presentations: To be determined by Budget Committee

The Budget Committee discussed the proposed schedule for future Budget Committee meetings and departmental presentations. Arthur O'Hare explained that the proposed presentation schedule included all County departments and that the Budget Committee could determine which departments would present and whether adjustments to the proposed calendar were necessary. O'Hare stated that, based upon prior budget processes, he generally recommended prioritizing presentations from departments that directly interact with the public or departments requesting additional staffing or budget adjustments.

Discussion occurred regarding balancing transparency, public engagement, scheduling limitations, and efficient use of the Budget Committee's time. Commissioner Martin stated that one of the original goals of the expanded presentations was to increase transparency and allow the public to better understand County operations and services. Additional discussion occurred regarding whether broader departmental presentations may be more appropriate through a future "State of the County" style public event outside the compressed annual budget timeline.

Budget Committee members discussed scheduling conflicts and possible revisions to the proposed calendar. Dorothy Yetter advised the Committee of a previously scheduled vacation conflict involving certain future meeting dates. Marc Kirby expressed interest in hearing presentations from all County departments in order to better understand County services and organizational structure. Commissioners additionally discussed staffing reductions included within the proposed budget and the importance of allowing departments the opportunity to explain operational impacts and staffing requests.

Further discussion occurred regarding law enforcement compensation, retention concerns involving Sheriff's Office personnel and District Attorney staffing, and potential future compensation studies or collective bargaining considerations. O'Hare explained that future compensation adjustments involving represented employees would likely require additional review, negotiation, and possible supplemental budget action at a later date. Commissioners discussed reserve funding, contingency balances, and long-term sustainability of law enforcement funding structures.

Following discussion, Commissioner Martin made a motion to approve revisions to the proposed Budget Committee calendar, including moving the proposed May 26, 2026 meeting to the afternoon of May 27, 2026, while retaining the elected officials compensation presentation on the May 27 schedule and adjusting departmental presentation groupings accordingly. Seconded by Mr. Kirby. Upon roll call, Dorothy Yetter – Yes, Colene Martin – Yes, Ron Smith – Yes, Marc Kirby – Yes, and Gary Richardson – Yes. Motion carried 5-0.

4) Public Comment *(limit of three minutes each)*

No public testimony was provided.

The meeting adjourned at 9:52 a.m.